

visible in all types of social organizations. Political manifestations will include protectionism in trade matters, a polarized and vocal electorate, separatist movements, xenophobia, citizen-government clashes, the dissolution of old alliances and parties, and the emergence of radical new ones. Tariffs will become popular, regardless of the fact that virtually everyone knows they are dangerous and wrong, because they are a consequence of an increasingly negative psychology involving fear, envy and a misguided attempt at self-defense. Xenophobia will be practiced regardless of people's generally good intentions, because fear and hatred become pervasive in major bear markets regardless of whether or not they are justified. There will also be a danger that governments will impose police-state type controls as a consequence of the bear market. Such periods often end with emotional political oustings, whether by vote, resignation, impeachment, coup or revolution.

*The Elliott Wave Theorist* said in 1982 that given the outlook for a Cycle degree bull market, which portended an increasingly gentle social sentiment, there would be "no major war for at least ten years." That forecast was as comforting as it was accurate.

By contrast, bear markets of the magnitude projected by this book always lead to at least one major war, if not several wars or protracted warring. Wars are typically the product of "C" waves in bear markets. Though not without perturbation, society weathers "A" waves relatively well. "B" waves make people think the worst has passed, though, and when their hopes are dashed by the "C" wave, they get angry. That is when society becomes its most furious, fearful, nihilistic and exclusionary. The classic result is war.

The next major decline will presumably be wave (A) of a Grand Supercycle, thereby reducing the chances of a world war beginning during the immediately approaching crisis. However, a world war will almost certainly begin during or at the end of wave (C) of the Grand Supercycle, which according to the time analysis in Chapter 5 should terminate in the 2050s. However, it is flatly impossible to make any such timing a *prediction*. The only reliable prediction is that war will occur during or shortly after the "C" wave at the highest degree within whatever correction takes place, whether it is Grand Supercycle wave Four, as I expect, or Supercycle wave II under the milder scenario outlined in Chapter 5. Ironically, under the milder scenario, war will occur sooner, being associated with wave C of II, than if a Grand Supercycle correction unfolds. The compensation will be that it will be less severe.